Article | 22 July 2026

POLAND

Investment lifts Polish second-quarter growth despite consumption slowdown

Despite stronger-than-expected growth in June, second-quarter retail sales growth was slower than in 1Q26, pointing to a moderation in private consumption growth. Nevertheless, robust fixed investment growth more than offset weaker consumption spending, lifting GDP growth to around 3.8% YoY in the second quarter from 3.5% YoY in the first

Poland's growth gained momentum in the second quarter despite global headwinds

Buoyant sales of durable and semi-durable goods in June

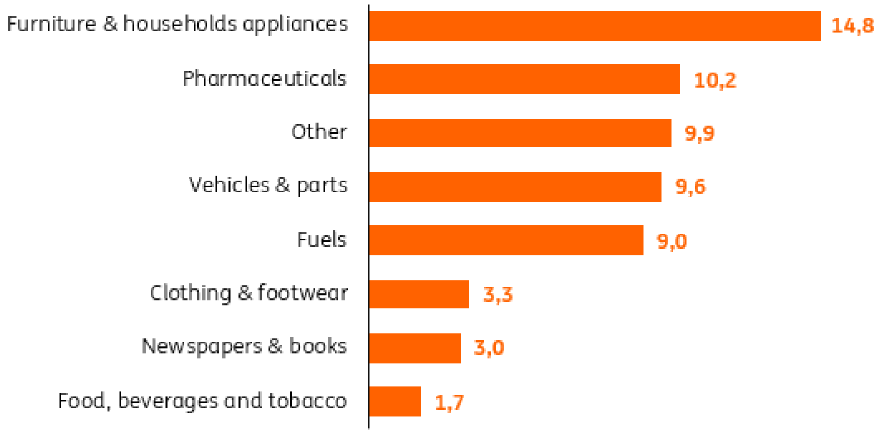
Polish retail sales increased by 6.2% year-on-year in June (ING: 5.0%; consensus: 5.1%), following growth of 3.0% YoY in May. Seasonally adjusted data indicate a 1.7% month-on-month increase.

Stronger annual growth than in May was reported for motor vehicle sales (9.6% YoY versus 2.1% YoY) and furniture, consumer electronics and household appliances (14.8% YoY versus 4.5% YoY). We attribute the stronger demand for durable goods (cars) and semi-durable goods (furniture, consumer electronics and household appliances) to improving consumer sentiment and the notable decline in fuel prices observed in June.

Poland also recorded double-digit growth in the sales of pharmaceuticals, cosmetics and orthopaedic equipment (10.2% YoY). After two months of decline, June brought a recovery in food sales (1.7% YoY), which may have been supported by recent price falls in this category. Fuel sales continued to expand at a solid pace despite still elevated prices, rising by 9.0% YoY in June, following 9.9% YoY in May.

Solid demand for durables and semi-durables

Real sales, %YoY



Source: GUS.

Energy shock weakened consumption, but investment growth gained momentum

June's retail sales data completes the picture of the second quarter of 2026 in the Polish economy. Compared with 1Q26, the quarter saw an acceleration in annual industrial production growth, a rebound in construction activity following the sharp declines recorded at the start of the year, and slower growth in retail sales.

Taken together, this suggests that in 2Q26 GDP growth reached around 3.8% YoY, likely exceeding the 3.5% YoY reported in 1Q26. We estimate that private consumption growth was weaker than in the previous quarter, as higher fuel prices weighed on spending on other goods and services. However, this was more than offset by a strengthening in investment growth, supported by European funds, including the National Recovery and Resilience Plan (NRRP) and cohesion policy funding. Public investment continued to play a significant role in overall investment growth.

Despite the challenges associated with the energy shock triggered by the conflict in the Middle East, economic conditions in Poland in 2Q26 proved surprisingly favourable and resilient amid recent geopolitical developments. We continue to forecast economic growth of 3.4% for 2026, although the balance of risks now appears tilted towards stronger growth. Nevertheless, uncertainty remains elevated, and the situation in the Persian Gulf continues to pose significant risks to price stability and economic conditions in the global economy.

Author

Rafal Benecki
Chief Economist, Poland
rafal.benecki@ing.pl

Adam Antoniak
Senior Economist, Poland
adam.antoniak@ing.pl

Disclaimer